

A NEW DAWN

After the merger of parent HDFC Ltd, HDFC Bank is on the brink of a transformative journey, seizing opportunities while addressing the unique challenges ahead

BY ANAND ADHIKARI

IN THE HIGHLY integrated banking world, every twist and turn in the domestic as well as global economy poses a new challenge for those at the helm. Sashidhar Jagdishan, or Sashi as he's called by his peers, has faced his fair share of these in the three and a half years since he became the Managing Director and Chief Executive Officer of HDFC Bank.

For instance, it's been barely a year since the mega merger of parent company HDFC Ltd with the bank, and Jagdishan already finds himself confronting yet another formidable challenge. This time, it emanates from outside. The adversaries are global short-sellers.

Despite the onslaught of short-sellers—its share prices dipped 17.5% between January 1 and February 29 this year—the 59-year-old Jagdishan remains undaunted. The bank stands firm thanks to its solid management team and consistent track record of growth in assets, loans and advances, and profits. The sustained performance and Jagdishan's leadership caught the attention of BT-KPMG's Best Banks & NBFCs jury, which picked the bank as the joint winner in the Bank of the Year category. And, it has again emerged as the winner in the Best Large Indian Bank category in the quantitative study.

Despite lagging in certain

parameters such as growth in loans and advances, growth in operating profits, NPA (non-performing assets) coverage, and secured advances to total assets in the BT-KPMG survey, the country's second-largest bank boasts the best asset quality and profit per employee metrics. Besides, after the merger of mortgage lender HDFC Ltd—effective from the current financial year—the bank has undergone significant transformation. Of course, the merger has brought with it some challenges.

“This is a period of transition we will have to adjust to. So, our anchor is that as a company, for 29 years, we have been consistent on bottom line growth, which you can call earnings per share or whatever that is...,” Jagdishan said at a Goldman Sachs India conference last month.

“Going forward too, we will have that as an anchor. So there are a lot of other metrics you may want to sort of ignore because of the transition, especially the loan growth, and that could be a tad low, but that's alright,” he added.

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The bank, whose loan mix was tilted towards retail for a long time, switched to wholesale during Covid-19. But relationships with top-notch corporate houses offer huge potential for cross-selling, again thanks to the merger. Kaizad Bharucha, Deputy MD at HDFC Bank, says the merger has opened up new opportunities for the real estate finance business as the bank would be able to offer this segment a bouquet of banking services.

| 49

THE TOP 5 LARGE INDIAN BANKS

RANK	BANKS	TOTAL ASSETS	NET NPA (%)	COST TO INCOME RATIO	ROCE (%)	CAPITAL ADEQUACY (%)
1	HDFC Bank	24,66,081	0.27%	0.40	16.96%	19.26%
2	ICICI Bank	15,84,207	0.51%	0.40	17.18%	18.34%
3	Bank of Baroda	14,58,562	0.89%	0.48	15.33%	16.24%
4	Kotak Mahindra Bank	4,89,862	0.37%	0.48	14.02%	21.80%
5	State Bank of India	55,16,979	0.67%	0.54	16.53%	14.68%

Total assets in ₹ crore; data for FY23

Source BT-KPMG Best Banks and NBFCs Survey 2022-23